

TRUSTEES' REPORT

For the year ended March 31, 2025

The Board of Directors of HSBC Trustees (India) Private Limited, Trustees of HSBC Mutual Fund present the Twenty Third Annual Report and the audited abridged financial statements of the schemes of the HSBC Mutual Fund ('the Fund') for the year ended March 31, 2025. The Fund's Assets Under Management ('AUM') (excluding Domestic FOFs) as on March 31, 2025, was INR 115,052.23 crores (audited). The Fund ranks in the top 15 Mutual Fund houses in India, in terms of AUM. As at March 31, 2025, the Fund offered 45 schemes across asset classes, to offer a broad product suite to meet the varying investment needs of the investors. During the year, the Fund launched two new products namely HSBC India Export Opportunities Fund and HSBC Financial Services Fund in the Equity category. The Fund continues its focus on delivering consistent long-term returns. The comments on the performance of the scheme(s) for the financial year April 01, 2024 – March 31, 2025 (FY 24-25) are provided hereinafter. Dividends were declared under various schemes as per the provisions contained in the respective Scheme Information Documents, after considering the distributable surplus available under the respective plans of the schemes. Details of dividends declared can be viewed on the Fund's website at www.assetmanagement.hsbc.co.in. SEBI, vide its letter dated May 03, 2024, has accorded no objection to HSBC Asset Management (India) Private Limited ('the AMC') to undertake Alternate Investment Funds (AIF) activity under the SEBI (Alternate Investment Funds) Regulations, 2012. SEBI, vide its letter dated October 03, 2024 has also accorded no objection to the AMC for setting up of a wholly owned

subsidiary in the International Financial Services Centre, Gujarat International Finance Tee-City ('GIFT City') to undertake activities as permitted under Regulation 24(b) of SEBI (Mutual Funds)

Fund / Benchmark (Value of ₹10,000 invested)	1 Year Amount (₹)	1 Year Returns (%)	3 Years Amount (₹)	3 Years Returns (%)	5 Years Amount (₹)	5 Years Returns (%)	Since Inception Amount (₹)	Since Inception Returns (%)
HSBC Multi Asset Allocation Fund – Regular Plan	10626	6.20	NA	NA	NA	NA	10780	7.15
HSBC Multi Asset Allocation Fund – Direct Plan	10773	7.67	NA	NA	NA	NA	10942	8.63
Scheme Benchmark (BSE 200 TRI (65%) + Nifty Short Duration Debt Index (20%) + Domestic Price of Gold (10%) + Domestic Price of Silver (5%))	11079	10.70	NA	NA	NA	NA	11359	12.43
Additional Benchmark (Nifty 50 TRI)	10665	6.65	NA	NA	NA	NA	10848	7.83

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- Fiscal policy and G-Sec demand-supply: Both these factors continue to be strong tailwinds into 2025, similar to 2024. Strong domestic demand along with continued FPI inflows, and potential OMO purchases by RBI will keep Government securities well bid and market technical positive.
- Index and strategic FPI flows: India bond markets are now in the process of inclusion into all 3 relevant EM bond indices viz. JP Morgan GBI-EM, Bloomberg EM LC index and FTSE-EM Government Bond Index. Total index flows should total USD 35-40 bn by March 2026.
- External balances: India's Current Account deficit has been steady, hovering around the ~1% mark for the past few years and we expect the same to continue into FY26 as well. Capital flows by their very nature are and will remain fickle. However, given the steady trickle of bond inflows, recent RBI tweaks with regards to FCNR deposit inflows and a still strong macro story, we believe Balance of Payments should still remain comfortable.

Moving onto the 3 factors where visibility has become clouded and may need to be watched closely:

- Global interest rate and FX environment: Given the lack of clarity on Trump 2.0 policies and their impact, US monetary policy backdrop is likely to be more uncertain in 2025. We prefer to start with a neutral stance on its impact on India bond yields. Consensus view on FX seems to be USD strength and EM weakness. The wildcard of course is any potential CNY depreciation/devaluation as a counter to Trump tariffs, which could lead to severe ripples across EM currencies. Clearly Central Bank actions will be critical for rates assessments as well. If consensus view of USD strength

does indeed turn out to be the way forward for 2025, we would expect INR weakness of 1-3% over CY25, still outperforming majority of EM currencies.

- Systemic liquidity: Recent FPI selling frenzy has forced liquidity back into deficit, on back of RBI interventions to maintain INR stability, forcing RBI to cut CRR in its December policy. We expect RBI to continue with further measures in this direction viz. aggressive VRR injections, FX swaps as well as potential Open Market Operations (OMO) to buy Government securities and inject liquidity into the system.
- Growth inflation imbalance: This brings us to the final and most relevant point. Growth outlook has suddenly dampened after the Q2 print of 5.4%, while inflation risks remain elevated on the back of unrelenting food price shocks. We expect the balance to get better over next few months as inflation retraces back to sub 5% levels, which would free up RBI's ability to respond better to downside growth risks. And this is what underpins our positive outlook for bond markets, as we expect the MPC to be able to cut rates by 50bps over the February and April policies. Through all the uncertainty, we still think space would exist for a further cut by June 2025, taking policy repo rate to 5.75% and overnight rates towards 5.5%. However, we remain mindful of the risk that global developments may not leave the RBI space to move that last mile.

To sum up, despite the various uncertainties and imponderables heading into 2025, we remain positive on our outlook on Indian bond markets and expect interest rates to move lower, supporting our long duration bias across portfolios, with the intent to remain nimble in our strategies as the year progresses. Factors impacting the yield curve: The chart shows the impact we expect on different parts of the yield curve based on key factors and help investors arrive at an appropriate risk return profile of their portfolios

In conclusion, the coming year is bound to be eventful and exciting from an investment perspective, with a fine line between being “nimble footed” and “holding the line”. In such an uncertain backdrop, India is fortunate to have a strong macro-economic fortress and more importantly, a resolute RBI at the gates, to raise the guard as and when required. As we head into 2025, for India bond and currency investors, that is probably the biggest reassurance of calm amidst the chaos. We believe, Indian bond markets are well-armed to navigate through the challenges posed by 2025. Source: RBI, Bloomberg and HSBC MF

Index	1 Year Return (%)
S&P BSE Sensex TR	6.4%
NSE CNX Nifty TR	6.7%
S&P BSE 100 TR	5.5%
S&P BSE 200 TR	6.2%
S&P BSE 500 TR	6.0%
S&P NSE Midcap TR	8.2%
S&P BSE Small-cap TR	8.7%

BRIEF BACKGROUND OF THE SPONSORS, THE FUND, THE TRUSTEES AND THE ASSET MANAGEMENT COMPANY

A. Sponsor

HSBC Mutual Fund is sponsored by HSBC Securities and Capital Markets (India) Private Limited (HSCI). The Sponsor is the Settler of the Mutual Fund Trust. The Sponsor has entrusted a sum of INR. 1,00,000/- (Rupees One Lakh only) to the Trustees as the initial contribution towards the corpus of

the Mutual Fund. HSCI offers integrated investment banking services, securities and corporate finance & advisory. HSCI is a member of the Bombay Stock Exchange Limited and National Stock Exchange (capital and derivative market segments). HSCI holds 100% of the paid-up equity share capital of HSBC Asset Management (India) Private Limited.

B. HSBC Mutual Fund

HSBC Mutual Fund ("the Mutual Fund" or "the Fund") has been constituted as a Trust in accordance with the provisions of the Indian Trusts Act, 1882 (2 of 1882) vide a Trust Deed dated February 7, 2002 (as amended) and a Deed of Novation dated February 12, 2024 with HSBC Securities and Capital Markets (India) Private Limited, as the Sponsor and HSBC Trustees (India) Private Limited, as the Trustees. The Trustees have entered into an Investment Management Agreement dated February 7, 2002 (as amended) with HSBC Asset Management (India) Private Limited (AMC) to function as the Investment Manager for all the schemes of the Fund. The Fund is registered with SEBI vide registration number MF/046/02/5 dated May 27, 2002. The Trust has been formed for the purpose of pooling of capital from the public for collective investment in securities for the purpose of providing facilities for participation by persons as beneficiaries in such investments and in the profits/income arising therefrom.

C. HSBC Trustees (India) Private Limited (the Trustees)

HSBC Trustees (India) Private Limited ("HTIP") (the Trustees to HSBC Mutual Fund) is a private limited company incorporated on 09 January 2024 under the Companies Act, 2013, and having its Registered Office at 52/60, Mahatma Gandhi Road, Fort, Stock Exchange, Mumbai – 400 001. The Trustees are the exclusive owner of the Trust Fund and hold the same in trust for the benefit of the unitholders. The Trustees have been discharging

their duties and carrying out the responsibilities as provided in the SEBI (Mutual Funds) Regulations, 1996 and the Trust Deed. The Trustees seek to ensure that the Fund and the schemes floated there under are managed by the AMC in accordance with the Trust Deed, the said Regulations, directions and guidelines issued by the SEBI, the Stock Exchanges, the Association of Mutual Funds in India and other regulatory agencies. As of March 31, 2025, HSCI holds 100% of the paid-up equity share capital of HTIP.

D. Asset Management Company (the AMC)

HSBC Asset Management (India) Private Limited (the Investment Manager or the AMC) is a private limited company incorporated under the Companies Act, 1956 on December 12, 2001, and having its Registered Office at 9-11 Floors, NESCO IT Park, Building no. 3, Western Express Highway, Goregaon (East), Mumbai – 400 063. HSBC Asset Management (India) Private Limited has been appointed as the Investment Managers to HSBC Mutual Fund by the Trustees vide Investment Management Agreement (IMA) dated February 7, 2002 (as amended) executed between the Trustees and the AMC. SEBI approved the AMC to act as the Investment Manager of the Fund vide its letter No. MFD/BC/163/2002 dated May 27, 2002. The paid-up equity share capital of the AMC is INR 344.41 crores. The AMC is registered as a Portfolio Manager under the SEBI (Portfolio Managers) Regulations, 1993 vide registration no. INP000001322. The AMC also offers non-binding Advisory services to offshore funds under the mutual fund license. SEBI vide its letter dated May 3, 2024, has accorded no objection to the AMC to undertake Alternate Investment Funds activity under the SEBI (Alternate Investment Funds) Regulations, 2012. SEBI vide its letter dated October 3, 2024, has also accorded it's no objection to the AMC for setting up of a wholly owned subsidiary in International Financial Services Centre ("IFSC"), Gujarat International Finance Tee-City ("GIFT City")

to undertake activities as permitted under Regulation 24(b) of SEBI (Mutual Funds) Regulations, 1996 and provide non-binding advisory services to the subsidiary for its GIFT AIF activity. HSBC Securities and Capital Markets (India) Private Limited holds 100% of the paid-up equity share capital of the AMC.